



ADVANCED COLLEGE ACCOUNTING (115)

—Post-secondary—
STATE – 2019

Multiple Choice & Short-Answer:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Problems:

Problem 1: Journal Entries _____ (50 points)

Problem 2: Capitalized Cost _____ (54 points)

Problem 3: Retail Method - Average _____ (26 points)

TOTAL POINTS _____ ***(170 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Round to two decimal places unless otherwise instructed

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Ordinary Interest



Multiple Choice: 2 points each

- | | |
|-------|-------|
| 1. D | 11. B |
| 2. B | 12. B |
| 3. D | 13. C |
| 4. C | 14. D |
| 5. D | 15. C |
| 6. A | 16. A |
| 7. C | 17. D |
| 8. C | 18. D |
| 9. C | 19. B |
| 10. B | 20. D |

Problem 1 (50 Points)

Record the following selected transactions in the journal below and on the next page. Use the letter in the date column.

Graders – Each line (or row) is worth two points – one point for the correct account and one point for the correct debit/credit amount. Please note that abbreviations are allowed.

- a. On the first day of the year, sold \$1,000,000 of 10-year 10% bonds for \$ 885,295.
- b. On Feb. 6, billed a customer for \$30,000 of merchandise with terms 2/10 net 30, FOB Shipping Point. A shipping charge of \$210 paid with cash was added to the invoice. The company uses the Net Method and has a perpetual inventory system. Cost of goods is \$8,900.
- c. Received payment of the invoice in b. The payment is received on Feb. 28.
- d. Wrote off an account of \$1,280 which was deemed uncollectible. The company uses the Allowance Method.
- e. Sold merchandise of \$10,900 and accepted an 8% note with payment due in 60 days. Cost of goods is \$4,200.
- f. Purchased \$ 115,000 worth of merchandise on account using the Net Method. The invoice was dated July 15 with terms FOB Shipping Point and net 30. A shipping charge of \$ 610 was added to the invoice.
- g. On September 30, we purchased a patent for \$ 2,100,000 cash. This patent has a remaining legal life of 8 years but we estimate a useful life of 5 years.
- h. Record the amortization of the patent at year end.
- i. At the end of the year, a physical inventory of merchandise was taken. The actual count reflects an inventory of \$ 519,700. The balance in the Merchandise Inventory account is \$519,990.



General Journal

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Date	Description	Debit	Credit
a.	Cash	885,295	
	Discount on Bonds Payable	114,705	
	Bonds Payable		1,000,000
b.	Accounts Receivable	29,610	
	Sales		29,400
	Cash		210
	Cost of Goods Sold	8,900	
	Merchandise Inventory		8,900
c.	Cash	30,210	
	Accounts Receivable		29,610
	Interest Income (or Sales Disc Forfeited)		600
d.	Allowance for Uncollectibles	1,280	
	Accounts Receivable		1,280
e.	Notes Receivable	10,900	
	Sales		10,900
	Cost of Goods Sold	4,200	
	Merchandise Inventory		4,200
f.	Merchandise Inventory	115,610	
	Accounts Payable		115,610
g.	Patent	2,100,000	
	Cash		2,100,000
h.	Amortization Expense	105,000	
	Patent		105,000
i.	Cost of Goods Sold	290	
	Merchandise Inventory		290



Problem 2 (54 Points)

Grader: Each amount is worth 2 points; each account and date are worth 1 point.

The following is a list of costs incurred for the purchase of a new piece and a used piece of construction equipment. Determine the cost to be recorded in the financial records and prepare the appropriate journal entries.

New Equipment		Used Equipment	
Purchase Price	\$589,000	Purchase Price	\$199,000
Sales Tax	38,285	Sales Tax	12,935
Special Foundation	60,000	Shipping Charge	1,500
Installation by us	25,100	Insurance while in shipping	100
Damage at installation	8,000	Reconditioning	2,800
Shipping	11,100	Insurance for the year	1,200

Assume the new equipment was purchased on May 1, 2018. The purchase price was paid with a note payable; all other expenses were paid for with cash. Prepare the journal entry to record the purchase of the equipment with a 6 month, 8% note payable.

Date	Description	Debit	Credit
May 1	Equipment	723,485	
	Note Payable		589,000
	Cash		134,485

Record the payment of the note on the maturity date.

Date	Description	Debit	Credit
Nov. 1	Note Payable	589,000	
	Interest Expense	23,560	
	Cash		612,560

Record the first year's depreciation using the double-declining balance method, assuming the salvage value is \$150,000 and the useful life is 6 years (round to the nearest whole number).

Date	Description	Debit	Credit
Dec 31	Depreciation Expense	160,774	
	Accumulated Depreciation		160,774



Assume the used equipment was purchased on March 1 with a cash down payment of 60% and the rest on a 160 day, 5% note payable. Record the entry to purchase the equipment.

Date	Description	Debit	Credit
Mar 1	Equipment	216,335	
	Cash		129,801
	Note Payable		86,534

Record the payment of the note on the maturity date. Round final calculations to the nearest dollar.

Date	Description	Debit	Credit
Aug. 8	Note Payable	86,534	
	Interest Expense	1,923	
	Cash		88,457

Record the first year's depreciation using the straight-line method. Assume the salvage value is \$35,000 and the useful life is 30 months. Round final calculations to the nearest dollar.

Date	Description	Debit	Credit
Dec 31	Depreciation Expense	60,445	
	Accumulated Depreciation		60,445



Problem 3 (26 points)

Estimate the ending inventory and cost of goods sold on December 31, 2019, using the Retail Method – Average Cost (round all dollar amounts to the nearest dollar).

	Cost	Retail
Beginning Inventory	\$ 182,900	\$ 301,785
Net Purchases	1,200,800	1,981,320
Net Markups		200,000
Net Markdowns		(180,000)
Sales		1,842,484

Grader – Each bolded number is worth 2 points each for a total of 26 points.

	Cost	Retail
Beginning Inventory	\$ 182,900	\$ 301,785
Plus: Net Purchases	<u>1,200,800</u>	1,981,320
Net Markups		200,000
Net Markdowns		<u>(180,000)</u>
Goods available for sale	1,383,700	2,303,105
Cost to Retail % $\frac{1,383,700}{2,303,105} =$	60.1%	
Less: Sales		<u>(1,842,484)</u>
Estimated Ending Inventory at Retail		<u>\$ 460,621</u>
Estimated Ending Inventory at Cost	<u>(\$ 276,833)</u>	
Estimated Cost of Goods Sold	<u>\$ 1,106,867</u>	